# Finance Compliance, TDS & Statutory Withholding

*Corporate Finance & Operations Policy Manual | Version 2.4*

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## 5.1 Tax Deducted at Source (TDS) Withholding Rates

Section 194C (Contractors & Sub-contractors): 1% TDS for individual/HUF contractors, 2% TDS for corporate entities.

Section 194J (Professional & Technical Services): 10% TDS for professional fee disbursements, 2% TDS for technical call center or software maintenance services.

Section 194I (Rent & Property Lease): 10% TDS on land/building leases, 2% on plant and machinery lease.

## 5.2 Goods and Services Tax (GST) Verification

No invoice will be cleared for payment if the vendor's GSTIN status shows cancelled or suspended on the GST Portal.

Input Tax Credit (ITC) eligibility must match data reflected in Form GSTR-2B before finalizing monthly vendor balances.

## 5.3 Statutory Audit Records Retention

All tax invoices, debit notes, credit notes, and payment remittance slips must be retained in digital storage for a statutory minimum of eight (8) consecutive fiscal years.